

If you use different multiples of the height (half, 2×, or 3×), you will see different hit rates. For example, if you like to hold onto a stock and target three times the height, compute the height as already described, multiply it by three, and add it to the breakout price. Price will reach the target 39% in bull markets but only 17% in bear markets.

Stop location. Use [Table 7.7](#) to help determine where to place a stop. You can use a volatility stop, which is based on how volatile a stock is, to locate your stop. Often I'll stick a stop below a nearby minor low and double-check that with a volatility stop. See the Glossary for details on volatility stops.

Return to launch price. Look back at [Figure 7.1](#). Point A is the launch price. It's the price where the stock begins the decline in earnest, leading down to the big W. Unfortunately, the launch price can be hard to determine in some cases, so I use the measure rule to give better targeting guidance.